(2012) 24,000 bitcoin; Bitfinex (2016) 120,000 bitcoin; Coincheck (2018) 523 million NEM worth $500 million at the time; and Binance (2019) 7,000 bitcoin.[23] The attacks have become less frequent. Some centralized exchanges, such as Coinbase, even offer insurance. All these attacks were on centralized exchanges, and we have already reviewed some that occurred on DEXs.

ENVIRONMENTAL RISK

The proof of work consensus mechanisms used by both Bitcoin and Ethereum require a large amount of electricity for its computing power. This is both a strength and a weakness. The computing power provides unprecedented security for their networks. It is currently infeasible for an adversary to acquire enough hashing power to corrupt these blockchains. However, it is also a weakness given that most of the energy used is generated by fossil fuels.

Most of the DeFi activity resides on the Ethereum blockchain which currently is a proof-of-work blockchain. However, as we have mentioned previously, when Ethereum 2.0 is released it promises to be vastly more energy efficient using a proof-of-stake mechanism. Indeed, many DeFi applications already use alternative blockchains that are proof-of-stake based. Importantly, there are strong incentives that go beyond environmental impact to move to PoS given that PoS also allows for much higher transactions per second.

While there is a clear path for Ethereum to become much more environmentally friendly, the same cannot be said of